

HOUSE BILL 688

By Camper

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 53; Title 58; Title 63; Title 68 and Title 71,
relative to medicine.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 68, Chapter 1, is amended by adding the following as a new part:

68-1-1701.

The general assembly finds that access to a statewide strategic buffer stock, essential medicine reserve, or strategic inventory of essential medicines in the event of an emergency or natural disaster is vital to this state's healthcare system, educational settings, and the general population who rely on the state's healthcare resources, especially those who reside in rural or medically underserved areas.

68-1-1702.

As used in this part:

- (1) "Commissioner" means the commissioner of health, or the commissioner's designee;
- (2) "Department" means the department of health;
- (3) "Designated recipients" includes healthcare providers, healthcare facilities, state disaster relief organizations, state-operated facilities, and other entities to which strategic reserve medical resources may be disbursed under this part;
- (4) "Essential buffer stock" means the essential emergency and chronic disease management medicines, vaccines, and medical supplies buffer stock,

essential medicine reserve, and strategic inventory stockpile of essential medicines created by this part;

(5) "Natural disaster" means a hurricane, tornado, storm, flood, high water, wind-driven water, tidal wave, tsunami, earthquake, volcanic eruption, landslide, mudslide, snowstorm, ice storm, drought, fire, explosion, civil disturbance, or other catastrophe that causes or may cause substantial damage or injury to property, and includes an area that has been declared by the governor to be a disaster area;

(6) "Outbreak" means the widespread occurrence of an illness, disease, or other specific health condition; and

(7) "Virtually sequestered buffer stock" means an inventory stockpile of medications managed by a distribution vendor to avoid expiration and ensure availability during an emergency or natural disaster.

68-1-1703.

(a) The commissioner, in consultation with the director of TEMA and the directors of such other state, local, and regional emergency management and public health resources as the commissioner deems necessary, shall establish a statewide strategic essential buffer stock for emergency preparedness and drug shortage prevention to be maintained by the department for use in the event of a public health emergency, including natural disasters, man-made disasters, and mass casualty events at the local and state levels.

(b) The commissioner, in consultation with the director of TEMA, shall establish guidelines for the procurement, management, and distribution of medicines, vaccines, and medical supply items in an essential buffer stock, which may include a virtually sequestered buffer stock.

(c) The department may contract with private entities for the procurement of strategic emergency readiness supplies for, and management and distribution of, the essential buffer stock, including a virtually sequestered buffer stock. The department may contract for the reservation of supplies stored by a private, vendor-managed entity for the essential buffer stock, and the distribution of such supplies to locations specified by the department consistent with this section and rules promulgated by the department.

68-1-1704.

(a) The commissioner, in consultation with the director of TEMA and the directors of such other state, local, and regional emergency management and public health resources as the commissioner deems necessary, shall conduct demand planning and essential buffer stock modeling for emergency readiness supplies to be included at the discretion of the commissioner. Such planning and essential buffer stock modeling must include:

- (1) Recommendations on the types of emergency supplies to be included, in particular those determined to be necessary for rural and medically underserved areas;
 - (2) Anticipated demand for emergency supplies for various public health emergencies and natural disaster scenarios;
 - (3) Recommended quantities to be held in the essential buffer stock for each supply type;
 - (4) Guidelines for the supplies to be distributed to municipalities and healthcare settings in the event of a local or regional public health emergency;
- and

(5) Possible logistical and operational strategies that could be used to reduce the costs of the supplies, including the use of a virtually sequestered buffer stock procured and managed by an external vendor.

(b) Guidelines described in subdivision (a)(4) must include:

(1) The various types of items that may be required during an outbreak or other public health emergency, including natural disasters, man-made disasters, and mass casualty events;

(2) The amount of each type of item required for a sustained outbreak, public health emergency, natural disaster, man-made disaster, or mass casualty event;

(3) An action plan establishing policies and standards for an essential buffer stock surge capacity, including a virtually sequestered buffer stock, to ensure that hospitals, emergency providers, and other designated recipients have access to an adequate supply of necessary items during an outbreak or other public health emergency;

(4) Acknowledgement of any federal and state rules, policies, and funding that would be required to establish an essential buffer stock;

(5) How distribution from procurement must be prioritized if there are insufficient resources to meet the identified needs of healthcare providers, healthcare facilities, and other designated recipients, including consideration of whether the healthcare provider, facility, or other recipient:

(A) Is in a location with a high number of rural or underserved residents;

(B) Is in a medically underserved area, as designated by the United States department of health and human services, health resources and services administration;

(C) Disproportionately serves a medically underserved or rural population, as designated by the United States department of health and human services, health resources and services administration; and

(D) Is in a county with a high infection rate or high hospitalization rate related to the declared emergency.

(c) The commissioner, in consultation with the director of TEMA and the directors of such other state, local, and regional emergency management and public health resources as the commissioner deems necessary, shall define a list of entities to which essential buffer stock resources may be disbursed under the planning, modeling, and guidelines created pursuant to this section.

(d) When maintaining and securing supplies pursuant to this part, the department shall seek to maximize available federal and state funding.

68-1-1705.

On or before January 15, 2026, and on or before January 15 of each year thereafter, the commissioner, in consultation with the director of TEMA and the commissioner of education, shall submit to the clerk of the senate, the clerk of the house of representatives, and the legislative librarian an annual report on the stockpile for the previous calendar year just ended. The report must include:

(1) An inventory of items in the stockpile;

(2) The number of items from the stockpile that were used during the previous calendar year;

(3) The level of anticipated future usage;

(4) The status of existing contracts with private entities that fulfill procurement contracts for the stockpile;

(5) The types and number of items reserved through private entities; and

(6) A description of plans to access and distribute items reserved by private entities for an emergency.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.